

## vengeanceaiUSCMODEL16.0 — Assumptions List

Ticker: FICO. Plain list only (no charts). Each item includes What / How / Why / Source. Download URL: [https://raw.githubusercontent.com/vengeanceaiUSC/Rainmaker/cursor/vengeanceaiusmodel16-d3ac/FICO/output/MODEL16\\_FICO\\_ASSUMPTIONS\\_LIST.pdf](https://raw.githubusercontent.com/vengeanceaiUSC/Rainmaker/cursor/vengeanceaiusmodel16-d3ac/FICO/output/MODEL16_FICO_ASSUMPTIONS_LIST.pdf)

MODEL13 rated 6.5/10. Updated WACC from Model13 (Previous: 7.80%) to Model16 (New: CAPM 9.27% =  $D6 \leftarrow R15$ ). Updated DSO from Model13 (Previous: 97→45d) to Model16 (New: 97→28d). Exit BASE 21.0x (peer median ~18.1x; bull 26.0x; bear 15.5x).

CAPM sources: <https://fred.stlouisfed.org/series/DGS10>; <https://finance.yahoo.com/quote/FICO/key-statistics/>.

Yacktman lens (MODEL13 rated 6.5/10): compare FICO as a bond via CAPM yield (WACC 9.27%), not a hardcoded override. Cash side: Deferred + SBC + lower DSO so Scores/SaaS cash is not trapped.

Updated WACC from Model13 (Previous: Yacktman policy 7.80%) to Model16 (New: live CAPM 9.27% =  $D6 \leftarrow R15$ ).  $R_f=4.67\%$  (FRED DGS10 / ^TNX),  $\beta=1.32$  (Yahoo 5Y monthly),  $ERP=4.28\%$  (Damodaran),  $Rd\_pre=6.250\%$  (8-K 6.250% notes),  $T \approx 18.8\%$ ,  $Ke=10.32\%$ ,  $Rd\_at=5.08\%$ . Sources: <https://fred.stlouisfed.org/series/DGS10> | <https://finance.yahoo.com/quote/FICO/key-statistics/> | [https://pages.stern.nyu.edu/adamodar/New\\_Home\\_Page/home.htm](https://pages.stern.nyu.edu/adamodar/New_Home_Page/home.htm) | <https://www.sec.gov/Archives/edgar/data/814547/000119312526117936/d56220d8k.htm>.

Exit BASE 21.0x unchanged vs Model13 (Bull 26.0x / Bear 15.5x).

Updated DSO from Model13 (Previous: 97→45d) to Model16 (New: 97→28d). Op NWC = AR+Inv-AP ONLY. Increase in Deferred Revenue is a SEPARATE positive CFO/FCFF add-back tied to SaaS/on-prem mix (+250bps/yr). No AR/unearned double-count. Source: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>.

FY2025 10-K disaggregation drives mix rows 104–108. Updated SaaS mix shift from Model13 (Previous: +200 bps/yr) to Model16 (New: +250 bps/yr) to grow Deferred cash source. Platform ARR \$263.6M is KPI only — not additive IS revenue.

Updated Deferred from Model13 (Previous: present but under-weighted vs Scores cash) to Model16 (New: explicit BS liability + CFO row 81).  $Deferred\_t = Rev \times (SaaS\% + OnPrem\%) \times (FY25\ Def / FY25\ soft\ Rev)$ . FY25 deferred  $\approx$  \$187.4M. Detail: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>.

TOTAL D&A; add-back  $\approx 0.84\%$  of Rev (3yr avg). SBC is a SEPARATE add-back — no double-count with D&A; / intangibles amort.

Updated SBC from Model13 (Previous: 8.251% present but user CSV inspection showed weak CFO integration clarity) to Model16 (New: yellow POLICY row 21 = 8.25% from SEC companyfacts ShareBasedCompensation/Rev; CFO row 64 =  $Rev \times SBC\%$ ; FCFF add-back once). Source: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>. Shares fall only via buybacks — no SBC\$/Price dilution.

Start shares 23,764k (FYE25).  $Shares\_t \pm EquityCF\_t/Price$ ; EquityCF is buybacks (<0). SBC add-back does NOT dilute.

Updated CapEx path documentation (unchanged levels vs Model13): 1.25% → 1.05% → 0.90% → 0.75% → 0.60%.

COGS -75 bps/yr from segment GM; SG&A; -125 bps toward 15% floor (carry Model13 Scores pricing-power grind).

DCF cash tax 22.87% (3yr IncomeTaxesPaidNet/EBT). CAPM after-tax  $Rd$  uses book ETR ~18.8% in WaccInputs; Excel R11 links to D5 for  $Rd(1-t)$  consistency with FCFF cash taxes.

Debt = 3yr avg net debt CF; equity buybacks = residual (CFO-CapEx-Debt) so  $\Delta Cash \approx 0$ . Hist buybacks avg  $\approx$  \$881M/yr.

Equity = Assets - Liab - RE every year. Liab = AP + Debt + Deferred. Row-3 OK; cash check  $\approx 0$ .

Primary filings hub: <https://investors.fico.com/financial-information/sec-filings> — segmentation from FY2025 10-K

(<https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>; IR

<https://investors.fico.com/static-files/663245db-39a2-4db7-8f89-284034bbccbf>). Deferred/contract liabilities: Q1 FY2026 10-Q detail (<https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>).

### A. Three-Statement Forecast Assumptions

#### Row 7: Revenue Growth

**What it is:** Year-over-year % increase in revenue for each forecast year.

**How set in model:** Yellow POLICY input: 27% / 16% / 13% / 10% / 7%.

**Why this choice:** Y1  $\approx$  company FY2026 revenue guidance (~\$2.53B / FY25 \$1.991B - 1  $\approx$  27%). Then fade toward terminal  $g=3\%$  (not straight-lined). This is the main forward-looking judgment; it drives Rev → GP → EBT → Net Earnings → CF.

**Source:** SEC EX-99.1 Q3 FY2026 — updated FY2026 revenue guidance \$2.53B

**Source URL:** <https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>

## Row 8: COGS % of Revenue

**What it is:** Cost of revenues as a % of sales (gross margin = 1 – this).

**How set in model:** Excel: MAX(10%, segment blended COGS base≈17.60% – 75bps × year).

**Why this choice:** MODEL16 Yacktman: COGS –75 bps/yr from segment GM; SG&A; –125 bps toward 15% floor (carry Model13 Scores pricing-power grind). Mix % offset within Total Revenue (not a second revenue stack).

Source: SEC 10-K FY2025 — Scores +\$249M YoY 'primarily attributable to a higher unit price'

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

## Row 9: SG&A; % of Revenue

**What it is:** Operating opex (SG&A;) as % of sales.

**How set in model:** Equation: MAX(15%, (I28 – 10,922)/I24 – 125bps × year). Strips FY25 restructuring; then –1.25% of sales each year.

**Why this choice:** MODEL16 Yacktman: faster opex leverage (–125 bps/yr, floor 15%) as Scores near-100% incremental margins and SaaS scale drop incremental dollars below the line (MODEL12 used –100 bps).

Source: SEC 10-K FY2025 — SG&A; + Scores pricing commentary

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

## Row 10: R&D; % of Revenue

**What it is:** Research & development expense as % of sales (IS label: R&D;, not Rent).

**How set in model:** Excel equation: I29/I24 held flat (~9.46%).

**Why this choice:** FICO reinvests steadily in analytics/software. Flat % grows dollars with revenue.

Source: SEC 10-K FY2025 — Research and development

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

## Row 11: D&A; % of Revenue

**What it is:** Total depreciation & amortization as % of sales (software-industry driver).

**How set in model:** Yellow POLICY input: flat 0.84% (3yr FY23–25 avg TOTAL D&A;). Forecast DA\$ = Revenue × DA%; CF row 63 adds it back once.

**Why this choice:** MODEL16: TOTAL D&A; add-back ≈ 0.84% of Rev (3yr avg). SBC is a SEPARATE add-back — no double-count with D&A; / intangibles amort.

Source: SEC companyfacts — DepreciationDepletionAndAmortization (+ AmortizationOfIntangibleAssets)

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

## Row 12: Interest % of Debt Open

**What it is:** Interest expense as % of opening debt balance.

**How set in model:** Excel equation: I101/I98 (FY25 interest ÷ FY25 opening debt in schedule).

**Why this choice:** Approximates average coupon / cost of debt on the book. Debt stock follows the net debt issuance assumption (row 19).

Source: SEC 10-K FY2025 — Interest expense; see also 8-K 6.250% notes

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

## Row 13: Book Tax Rate (% of EBT)

**What it is:** Effective book tax rate applied to forecast EBT → Net Income.

**How set in model:** Excel equation: I35/I33 (FY25 tax ÷ simplified FY25 EBT in this template).

**Why this choice:** Book rate (~19%) remains on the income statement. DCF unlevered cash taxes use a separate cash tax rate (22.87% = 3yr IncomeTaxesPaidNet/EBT). DCF cash tax 22.87% (3yr IncomeTaxesPaidNet/EBT). CAPM after-tax Rd uses book ETR ~18.8% in WaccInputs; Excel R11 links to D5 for Rd(1–t) consistency with FCFF cash taxes.

Source: SEC 10-K FY2025 — tax expense; cash taxes from IncomeTaxesPaidNet

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

## Row 15: DSO — Accounts Receivable (Days)

**What it is:** Days Sales Outstanding.  $AR = \text{Revenue} \times DSO / 365$ .

**How set in model:** Yellow POLICY path: phases 97d (FY25 hist) → 28d over 5 years (Y1=83.2d ... Y5=28d). Segment blend ref ≈ 27.5d on schedule row 115 (SaaS 40/B2C 2/B2B 25/PS 12/On-prem 40).

**Why this choice:** Updated DSO from Model13 (Previous: 97→45d) to Model16 (New: 97→28d) for Scores near-instant cash (MODEL13 rated 6.5/10). Updated DSO from Model13 (Previous: 97→45d) to Model16 (New: 97→28d). Op NWC = AR+Inv-AP ONLY. Increase in Deferred Revenue is a SEPARATE positive CFO/FCFF add-back tied to SaaS/on-prem mix (+250bps/yr). No AR/unearned double-count. Source:

<https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>. Updated Deferred from Model13 (Previous: present but under-weighted vs Scores cash) to Model16 (New: explicit BS liability + CFO row 81).  $\text{Deferred}_t = \text{Rev} \times (\text{SaaS}\% + \text{OnPrem}\%) \times (\text{FY25 Def} / \text{FY25 soft Rev})$ . FY25 deferred ≈ \$187.4M. Detail: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>.

Source: SEC 10-K FY2025 — AR; Q1 FY2026 deferred detail (R45)

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>

## Row 16: Inventory (Days)

**What it is:** Inventory days ( $\text{Inv} = \text{COGS} \times \text{days} / 365$ ).

**How set in model:** Hard zero — FICO is software / scores; inventory is immaterial.

**Why this choice:** No inventory cycle to fund.

Source: SEC 10-K FY2025 — Inventory ≈ \$0

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

## Row 17: DPO — Accounts Payable (Days)

**What it is:** Days Payable Outstanding.  $AP = \text{COGS} \times \text{DPO} / 365$ .

**How set in model:** Excel equation:  $\text{ROUND}(\text{I48/I25} \times 365, 0)$  from FY25; held flat.

**Why this choice:** MODEL16: DPO pairs with phased DSO for Op NWC = AR+Inv-AP. Deferred is a SEPARATE CFO cash source (row 81) — never mixed into AR/DPO.

Source: SEC 10-K FY2025 — Accounts payable

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

## Row 18: CapEx % of Revenue

**What it is:** Capital investment (PPE + capitalized software) as % of sales.

**How set in model:** Yellow POLICY path: 1.25% / 1.05% / 0.90% / 0.75% / 0.60% (fade with operating leverage).

**Why this choice:** MODEL16 Yacktmán: Updated CapEx path documentation (unchanged levels vs Model13): 1.25% → 1.05% → 0.90% → 0.75% → 0.60%.

Source: SEC 10-K / companyfacts — PPE purchases + capitalized software; fade to maintenance

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

## Row 19: Debt Issuance (Repayment)

**What it is:** New borrowing (+) or repayment (–) in the forecast (\$000s).

**How set in model:** Yellow POLICY input: -290,917 each year (3yr avg senior-note proceeds – line-of-credit repayments).

**Why this choice:** MODEL16: Debt = 3yr avg net debt CF; equity buybacks = residual (CFO–CapEx–Debt) so  $\Delta \text{Cash} \approx 0$ . Hist buybacks avg ≈ \$881M/yr. Financing is excluded from FCFF.

Source: SEC companyfacts —  $\text{ProceedsFromIssuanceOfSeniorLongTermDebt} / \text{RepaymentsOfLinesOfCredit}$

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

## Row 20: Equity Issued (Repaid)

**What it is:** New equity issued (+) or buybacks (–) in the forecast BS/CF.

**How set in model:** Equation:  $-(\text{CFO} - \text{CapEx}) - \text{DebtIssuance}$  so residual levered FCF funds buybacks (hist 3yr avg buybacks ≈ \$881M/yr).

**Why this choice:** Restores financing realism so cash does not artificially stockpile. Buybacks are financing — excluded from FCFF. DCF share count FALLS with this buyback outflow. Start shares 23,764k (FYE25).  $\text{Shares}_t \pm \text{EquityCF}_t / \text{Price}$ ; EquityCF is buybacks ( $<0$ ). SBC add-back does NOT dilute.

Source: SEC 10-K FY2025 — Repurchases of common stock (\$1.415B); June 2025 \$1B authorization

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

## Row 21: SBC % of Revenue

**What it is:** Stock-based compensation as % of sales; non-cash add-back in CFO and FCFF.

**How set in model:** Yellow POLICY input: flat 8.25% (3yr FY23–25 avg  $\text{ShareBasedCompensation} / \text{Revenue}$ ).

**Why this choice:** MODEL16 Yacktman: Updated SBC from Model13 (Previous: 8.251% present but user CSV inspection showed weak CFO integration clarity) to Model16 (New: yellow POLICY row 21 = 8.25% from SEC companyfacts  $\text{ShareBasedCompensation}/\text{Rev}$ ; CFO row 64 =  $\text{Rev} \times \text{SBC}\%$ ; FCFF add-back once). Source:

<https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>. Shares fall only via buybacks — no SBC\$/Price dilution.

Source: SEC 10-K cash flow — ShareBasedCompensation (add-back only; no share dilution)

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

## Row 104: Mix % — SaaS / Platform software

**What it is:** Share of Total Revenue from SaaS / cloud software (incl. FICO Platform cloud).

**How set in model:** FY25 base 21.08% (SaaS \$419,720k / Total \$1,990,869k), then +250 bps/yr taken from on-prem. Platform ARR KPI \$263.6M is not additive IS revenue.

**Why this choice:** Updated SaaS mix shift from Model13 (Previous: +200 bps/yr) to Model16 (New: +250 bps/yr). SaaS billed annually in advance → Deferred Revenue growth → explicit CFO cash source (row 81). Source:

<https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/fico-20251231.htm>.

Source: SEC 10-Q Q1 FY2026 — Deferred revenue / contract liabilities detail

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>

## Row 105: Mix % — B2C Subscriptions (myFICO)

**What it is:** Share of Total Revenue from B2C scoring / myFICO.com subscriptions.

**How set in model:** Yellow POLICY = 11.05% (FY25 B2C Scores \$219,980k / Total \$1,990,869k).

**Why this choice:** Near-zero DSO (card-settled consumer subscriptions). Minimal Deferred Revenue vs annual SaaS invoices. High incremental margin; WC-light cash conversion.

Source: SEC 10-K FY2025 — Scores segment B2C / myFICO disaggregation

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

## Row 106: Mix % — B2B Scores

**What it is:** Share of Total Revenue from B2B scoring (mortgage, auto, card via CRAs).

**How set in model:** Yellow POLICY = 47.65% (FY25 B2B Scores \$948,595k / Total \$1,990,869k).

**Why this choice:** Transactional volume through Experian/TransUnion/Equifax; ~30-day DSO. Does not create SaaS-style Deferred Revenue (usage-based recognition).

Source: SEC 10-K FY2025 — Scores segment B2B disaggregation

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

## Row 107: Mix % — Professional Services

**What it is:** Share of Total Revenue from implementation / consulting / training fees.

**How set in model:** Yellow POLICY = 4.13% (FY25 PS \$82,149k / Total \$1,990,869k).

**Why this choice:** Upfront integration fees convert cash quickly (low DSO) but carry significantly lower gross margin than software/scores — pulls blended COGS up vs pure SaaS.

Source: SEC 10-K FY2025 — Software segment Professional services line

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

## Row 108: Mix % — On-Premises Software

**What it is:** Share of Total Revenue from on-premises license + maintenance software.

**How set in model:** Yellow POLICY = 16.09% (FY25 on-prem \$320,425k / Total \$1,990,869k).

**Why this choice:** With SaaS mix, drives Deferred Revenue (maintenance billed in advance). Same 45-day DSO policy as SaaS. Completes mix identity to 100% of Total Rev.

Source: SEC 10-K FY2025 — Software on-premises vs SaaS deployment table

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

## B. DCF Assumptions

### DCF-D5: Cash Tax Rate (unlevered)

**What it is:** Cash tax rate used for FCFF unlevered taxes and after-tax cost of debt.

**How set in model:** Yellow POLICY = 22.87% (3yr avg IncomeTaxesPaidNet ÷ EBT). NOT linked to book tax J13.

**Why this choice:** DCF cash tax 22.87% (3yr IncomeTaxesPaidNet/EBT). CAPM after-tax Rd uses book ETR ~18.8% in WaccInputs; Excel R11 links to D5 for Rd(1-t) consistency with FCFF cash taxes.

Source: SEC companyfacts — IncomeTaxesPaidNet / EBT

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

### DCF-D6: WACC (CAPM primary — D6 = R15)

**What it is:** Weighted average cost of capital for XNPV of FCFF + TV.

**How set in model:** D6 = R15 (live CAPM) ≈ 9.27%. Updated from Model13 (Previous: Yacktman 7.80%) to Model16 (New: CAPM 9.27%). Rf/β/ERP/Rd inputs in Q6:R15 with clickable sources.

**Why this choice:** Updated WACC from Model13 (Previous: Yacktman policy 7.80%) to Model16 (New: live CAPM 9.27% =  $D6 \leftarrow R15$ ). Rf=4.67% (FRED DGS10 / ^TNX), β=1.32 (Yahoo 5Y monthly), ERP=4.28% (Damodaran), Rd\_pre=6.250% (8-K 6.250% notes), T=18.8%, Ke=10.32%, Rd\_at=5.08%. Sources: <https://fred.stlouisfed.org/series/DGS10> | <https://finance.yahoo.com/quote/FICO/key-statistics/> | [https://pages.stern.nyu.edu/adamodar/New\\_Home\\_Page/home.htm](https://pages.stern.nyu.edu/adamodar/New_Home_Page/home.htm) | <https://www.sec.gov/Archives/edgar/data/814547/000119312526117936/d56220d8k.htm>.

Source: FRED DGS10 Rf; Yahoo 5Y Beta; Damodaran ERP; SEC 8-K 6.250% Rd

Source URL: <https://fred.stlouisfed.org/series/DGS10>

### DCF-D7: Perpetual Growth (g)

**What it is:** Long-run growth used only in the Gordon TV cross-check.

**How set in model:** POLICY input = 3.0%.

**Why this choice:** Long-run nominal GDP-like floor; primary TV uses exit multiple.

Source: Damodaran long-run growth framing

Source URL: [https://pages.stern.nyu.edu/adamodar/New\\_Home\\_Page/datafile/histimpl.html](https://pages.stern.nyu.edu/adamodar/New_Home_Page/datafile/histimpl.html)

### DCF-D8: Exit EV/EBITDA (BASE)

**What it is:** Terminal enterprise value multiple on Year-5 EBITDA.

**How set in model:** POLICY BASE 21.0x; Bull 26.0x; Bear 15.5x. Peer set: EFX 13.88x, VRSK 17.42x, SPGI 18.11x, MCO 22.20x, MSCI 23.74x. Median ≈ 18.11x.

**Why this choice:** Exit BASE 21.0x unchanged vs Model13 (Bull 26.0x / Bear 15.5x).

Source: VCP Scanner FICO peer EV/EBITDA comps + Yacktman premium

Source URL: <https://vcpscanner.com/valuation/fico/relative>

### DCF-D13/D14: Debt & Cash (equity bridge)

**What it is:** Gross debt and cash+marketable securities for EV → equity.

**How set in model:** Latest 10-Q bridge totals (more current than FY25 3S balances).

**Why this choice:** Bridge should reflect the latest capital structure; 3S FY25 shown as reference.

Source: SEC 10-Q — Fair Isaac Corp

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000016/fico-20250331.htm>

## DCF-D12/I16: Shares Outstanding (buyback-adjusted)

**What it is:** Starting shares (D12 = 23,764k FYE25) fall each year with buybacks (3S equity CF / price). SBC is added back in FCFF but does NOT increase shares — avoids double penalty. \$/share uses Y5 shares (I16).

**How set in model:** D16=\$D\$12; E16:I16 = MAX(1000, prior + 3SI{J-N}20 / \$D\$11); D37=\$D\$35/\$I\$16.

**Why this choice:** Start shares 23,764k (FYE25). Shares\_t += EquityCF\_t/Price; EquityCF is buybacks (<0). SBC add-back does NOT dilute.

Source: SEC 10-K FY2025 — shares outstanding 23,764k; buybacks \$1.415B

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

## DCF-E25: Net WC investment ( $\Delta$ OpNWC – $\Delta$ Deferred)

**What it is:** FCFF subtracts  $\Delta$  Operating NWC (AR+Inv–AP) and adds Increase in Deferred Revenue. AR and Deferred are strictly separated.

**How set in model:** DCF E25:I25 = 3SI{J-N}90 – (3S Def\_t – Def\_t–1). Equivalent to – $\Delta$ OpNWC +  $\Delta$ Deferred inside UFCFF.

**Why this choice:** Updated DSO from Model13 (Previous: 97→45d) to Model16 (New: 97→28d). Op NWC = AR+Inv–AP ONLY. Increase in Deferred Revenue is a SEPARATE positive CFO/FCFF add-back tied to SaaS/on-prem mix (+250bps/yr). No AR/unearned double-count. Source:

<https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>. Updated Deferred from Model13

(Previous: present but under-weighted vs Scores cash) to Model16 (New: explicit BS liability + CFO row 81). Deferred\_t = Rev × (SaaS%+OnPrem%) × (FY25 Def / FY25 soft Rev). FY25 deferred ≈ \$187.4M. Detail:

<https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>.

Source: SEC 10-Q Q1 FY2026 — Deferred revenue roll-forward (R45)

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>

This PDF is the canonical printable assumptions list for the workbook. Filings and data sources remain clickable in Excel columns U/V; column W on every assumption row links back to this file.